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EXHIBIT 25

Duke Energy Carolinas, LLC's and Duke Energy Progress, LLC's

DSM/EE Mechanism Compliance Filing

DOCKET NO. E-2, SUB 931
DOCKET NO. E-7, SUB 1032
DOCKET NO. E-2, SUB 927
DOCKET NO. E-2, SUB 936
DOCKET NO. E-2, SUB 938
DOCKET NO. E-2, SUB 950
DOCKET NO. E-2, SUB 952
DOCKET NO. E-2, SUB 1021
DOCKET NO. E-2, SUB 1022
DOCKET NO. E-2, SUB 1060
DOCKET NO. E-2, SUB 1086
DOCKET NO. E-2, SUB 1094
DOCKET NO. E-2, SUB 1299
DOCKET NO. E-2, SUB 1307
DOCKET NO. E-2, SUB 1308
DOCKET NO. E-7, SUB 1093
DOCKET NO. E-7, SUB 1155
DOCKET NO. E-7, SUB 1272
DOCKET NO. E-7, SUB 1278

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R8-68 Filing Requirements	
Power Manager Equipment Control Service	
Filing Requirements	
(c)(2)(i)(a)	**Measure / Program Name**
	Residential Service – Equipment Control ("Power Manager" or "Program").
(c)(2)(i)(b)	**Consideration to be Offered**
	The Program is being updated as a result of the changes to system benefits recent Order issued on May 22, 2024, for the North Carolina Demand Side Management ("DSM") / Energy Efficiency ("EE") in Docket Nos. E-7, Sub 1032 and E-2, Sub 931 ("Mechanism"). This modification updates the Program's system benefits – energy and capacity – as a result of the new Mechanism. Along with the update to the system benefits, the Program is also proposing modifications to the program as outlined below: (1) The addition of the water heater control option; (2) Updating months to Non-Winter (April through October) and Winter (November through March); (3) Increasing customer incentives for all load control options except for the battery internet connected incentive. The battery internet connected incentive is not being updated at this time as the Battery Load control option is a Pilot program that requires an overall overview and further analysis of the impact of the incentive; and (4) Updating program operations, such as paying incentives either on the customer's anniversary of joining the Program or monthly during the season.
(c)(2)(i)(c)	**Anticipated Total Cost of the Measure / Program**
	See Attachment B, line 14.
(c)(2)(i)(d)	**Source and Amount of Funding Proposed to be Used**
	All Program costs will be funded from Company's general funds, consisting of all sources of capital. • These costs will be subject to cost recovery through a DSM/EE annual cost recovery rider consistent with Commission Rule R8-69(b). • See Attachment B, line 14, for the estimated level of required funding.
(c)(2)(i)(e)	**Proposed Classes of Persons to Whom This Will be Offered**
	The program will continue to be offered to individually metered residential customers receiving concurrent service from the Company.
(c)(2)(ii)(a)	**Describe the Measure / Program's Objective**
	The Program is a Demand Response ("DR") Program. The purpose of this Program is to provide a source of capacity through load reduction to provide the Company the opportunity to use these options during curtailment including emergency conditions. The purpose and objective of these modifications is to: (1) Increase the customer incentive to enable increased participation for the residential load control option; (2) Offer additional measures that would provide more opportunity for load control and system benefits that the Program provides; (3) To increase the financial value proposition of the Program to increase retention and enrollment of customers in the Program; and

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	(4) The alignment of winter and non-winter months allows for a full coverage throughout the year for a DR load control option. (5) Updating program operations ensure a seamless experience for customers when enrolling in load control options and when incentive payments are received.
(c)(2)(ii)(b)	**Describe the Measure / Program Duration**
	The average measure life is 1 year - see Attachment A, line 1.
(c)(2)(ii)(c)	**Describe the Measure / Program Sector and Eligibility Requirements**
	The Program is a DR Program. To participate in the Program, customers must occupy the residence. Individual program options may require occupant to provide the Company with owner-consent.
(c)(2)(ii)(d)	**Examples of Communication Materials and Related Cost**
	Cost associated with communications materials for this Program through various communication channels are estimated at $12,677,433 and are embedded in the cost displayed in Attachment B, line 8. Costs associated with communications materials for this modification may include, but are not limited to: • Email, direct mail and telephone solicitation to eligible residential load control participants and new participants for the water heater control options; • Education materials for customers; and • Company public website. Participating customers may receive an annual reminder and thank you communication via email or postcard.
(c)(2)(ii)(e)	**Estimated Number of Participants**
	Estimated Participation - see Attachment A, lines 3 - 12. These figures represent the total kW expected to participate in each year, not the number of households, premises or devices.
(c)(2)(ii)(f)	**Impact that each measure or program is expected to have on the electric public utility or electric membership corporation, its customer body as a whole, and its participating North Carolina customers;**
	Estimated Impact - see Attachment A, lines 13-54.
(c)(2)(ii)(g)	**Any other information the electric public utility or electric membership corporation believes is relevant to the application, including information on competition known by the electric public utility or the electric membership corporation.**
	Not applicable.
(c)(2)(iii)(a)	**Proposed Marketing Plan Including Market Barriers and how the Electric Public Utility Plans to Address Them.**
	The Company will market the Program through various marketing channels that include but are not limited to: • Email, direct mail and telephone solicitation to eligible residential load control participants and new participants for the water heater control options; • Education materials for customers; and • Company public website.

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Potential market barriers include:

Market Barrier	Actions to Address
Lack of awareness/understanding on the part of the customer regarding control programs in general, how they work, and what the benefits are (for the customer, the utility and the community).	Ensure that messaging includes clear, easy to understand information regarding the program, its benefits to participants and all customers. Provide clear and understandable information to customers via phone, email or direct mail.
Incentive value not being high enough for a customer to be interested in the program.	The Company based the incentive increases on research of customer feedback and the value of the programs. Actions will be taken to ensure existing customers understand these changes and can serve as advocates for the Program to other customers.

(c)(2)(iii)(b)	**Total Market Potential and Estimated Market Growth throughout the Duration of the Program;**
	Market potential represents the number of eligible Customers based on eligibility requirements defined in the Program tariff. Estimated Market Growth (Participation) - see Attachment A, lines 3 -12.
(c)(2)(iii)(c)	**Estimated Summer and Winter Peak Demand Reduction by Unit Metric and in the Aggregate by Year**
	Estimated Summer and Winter Peak Demand Reduction – see Attachment A, lines 13 - 22 and 28 & 29 and Attachment E, lines 1-10.
(c)(2)(iii)(d)	**Estimated Energy Reduction per Appropriate Unit Metric and in the Aggregate by Year**
	Estimated Energy Reduction - see Attachment A, lines 23-27 and lines 30-34.
(c)(2)(iii)(e)	**Estimated Lost Energy Sales per Appropriate Unit metric and in the Aggregate by Year**
	Lost Energy Sales - see Attachment A, lines 35-44.
(c)(2)(iii)(f)	**Estimated Load Shape Impacts**
	See sections (c)(2)(iii)(c) and (c)(2)(iii)(d).
(c)(2)(iv)(a)	**Estimated Total and Per Unit Cost and Benefit of the Measure / Program and the Planned Accounting Treatment for Those Costs and Benefits**
	Costs associated with this Program will be expensed as incurred. Total estimated cost by category- see Attachment B lines 7-10. Total estimated benefit- see Attachment B line 13. Total estimated per unit cost by category – see Attachment D- lines 1-25. Data shown on Attachment B represents present value of cost and benefits over the life of the measure.

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(c)(2)(iv)(b)	**Type, Amount, and Reason for Any Participation Incentives and Other Consideration and to Whom They Will be Offered, Including Schedules Listing Participation Incentives and Other Consideration to be Offered**

Water Heater Control:
Participating Customers may choose to employ (1) Company-provided Load Control Device(s) or (2) a water heater's ability to receive signals from the Company's load management system.

Approved Electric Water Heater:
An approved water heater is an insulated standard storage-type water heater of not less than 30 gallons rated capacity. All storage-type water heaters installed at the residence must participate in load control in order to receive the Incentive. On-Demand (Tankless or Instantaneous) water heaters are excluded from this program.

Load Control Option under HVAC and Water Heaters:
Customers choosing to employ Company-provided Load Control Device(s) will contract for the Company or its representative to install and operate the necessary control equipment in a location provided by Customer and suitable to the Company in or around the residential dwelling unit. This option is only available where the Company has the necessary communications equipment installed and where load control signal can be satisfactorily received at the Company's specified location on Customer's residence.

Winter and Non-Winter Months:
Non-Winter Months (April through October)
Winter Months (November through March)

The Company is updating the Months for the Program to allow for continued coverage of Demand Response load control availability throughout the year.

Increased customer incentives for each of the measure listed below:
The incentive for the Battery Control option while outlined below is not changing from what is currently proposed as the Battery Control option is a Pilot. Any changes to the incentive proposed for the Battery Control option will be reviewed upon the conclusion of the Pilot.

	Initial Incentive (One time per residence)	**Annual Incentive (May be paid monthly or annually)**
AC or Heat Pump Load Control Device Non-Winter	$50*	$56
Heat Strip Load Control Device Winter	$50	$40
Thermostat Internet Connected Non-Winter	Closed to new participants	$50
Thermostat Internet Connected Winter Focused	$150	$50
Water Heater Load Control Device	$25	$25
Water Heater Internet Connected	$25	$25

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	Battery Internet Connected | N/A | Monthly Incentive - $6.50 per kW based on nameplate continuous discharge capacity as defined by the battery manufacturer adjusted by a capability factor. The capability factor will be posted to the Company website and will be updated based on EM&V results. The capability factor adjusts for operational and program constraints including but not limited to reliability of device connection, system losses and systems not always being fully charged at time of the event. *Limited participation for the non-winter months.
(c)(2)(iv)(c)	**Service Limitations or Conditions Planned to be Imposed on Customers Who do not Participate in the Measure / Program**
	None.
(c)(2)(v)	**Cost-Effectiveness Evaluation (including the results of all cost-effectiveness tests and should include, at a minimum, an analysis of the Total Resource Cost Test, the Participant Test, the Utility Cost Test, and the Ratepayer Impact Measure Test) Description of the Methodology Used to Produce the Impact Estimates, as well as, if Appropriate, Methodologies Considered and Rejected in the Interim Leading to the Final Model Specification**
	See Attachment B, Line 15. Impact estimates for this Program are based upon historic impacts along with expectations of future participation by customers with peak savings profiles that are similar to historic participants.
(c)(2)(vi)	**Commission Guidelines Regarding Incentive Programs (provide the information necessary to comply with the Commission's Revised Guidelines for Resolution of Issues Regarding Incentive Programs, issued by Commission Order on March 27, 1996, in Docket No. M-100, Sub 124, set out as an Appendix to Chapter 8 of these rules)**
	The Program does not provide any inducement or incentive affecting a customer's decision to install or adopt natural gas or electric service.
(c)(2)(vii)	**Integrated Resource Plan (explain in detail how the measure is consistent with the electric public utility's or electric membership corporation's integrated resource plan filings pursuant to Rule R8-60)**
	Capacity reductions from this Program will be included for planning purposes in future integrated resource plans.
(c)(2)(viii)	**Other (any other information the electric public utility or electric membership corporation believes relevant to the application, including information on competition known by the electric public utility or the electric membership corporation)**
	Not applicable.

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Additional Filing Requirements	
(c)(3)(i)(a)	**Costs and Benefits - Any Costs Incurred or Expected to be Incurred in Adopting and Implementing a Measure / Program to be Considered for Recovery Through the Annual Rider Under G.S. 62-133.9**
	See Attachment C, lines 11-35.
(c)(3)(i)(b)	**Estimated total costs to be avoided by the measure by appropriate capacity, energy and measure unit metric and in the aggregate by year**
	See Attachment A, lines 45-54.
(c)(3)(i)(c)	**Estimated participation incentives by appropriate capacity, energy, and measure unit metric and in the aggregate by year.**
	Incentive per cumulative kW - see Attachment E, lines 21-25 and lines 46-50. Incentive per cumulative kWh - see Attachment F, lines 16-20. Incentive per participant - see Attachment D, lines 11-15.
(c)(3)(i)(d)	**How the electric public utility proposes to allocate the costs and benefits of the measure among the customer classes and jurisdictions it serves.**
	The Program costs for DR programs targeted at North Carolina and South Carolina retail residential customers are allocated to North Carolina retail jurisdiction based on the ratio of peak North Carolina retail kW demand to total peak retail kW demand, then recovered only from North Carolina residential customers.
(c)(3)(i)(e)	**The capitalization period to allow the utility to recover all costs or those portions of the costs associated with a new program or measure to the extent that those costs are intended to produce future benefits as provided in G.S. 62-133.9(d)(1).**
	No costs from this Program will be capitalized.
(c)(3)(i)(f)	**The electric public utility shall also include the estimated and known costs of measurement and verification activities pursuant to the Measurement and Verification Reporting Plan described in paragraph (ii).**
	Total portfolio evaluation costs are estimated to be 5% of total portfolio program costs.
(c)(3)(ii)(a)	**Measurement and Verification Reporting Plan for New Demand-Side Management and Energy Efficiency Measures: Describe the industry-accepted methods to be used to evaluate, measure, verify, and validate the energy and peak demand savings estimated in (2)(iii)c and d above**.
	The Company will use an independent, third-party evaluator specializing in the EM&V of demand reduction program impacts to provide the appropriate EM&V support. The independent, third-party consultant will customize an EM&V plan with specific activities to carry out the evaluation approach described below. Impact evaluation activities verify dispatch capabilities attributable to the Program. Process evaluation activities assess the effectiveness of Program processes and their impact on the broader Program market. Specific objectives for the evaluation of the Program include the following: • Estimate the average (kW) and aggregate (MW) dispatch capabilities that are achieved during control events and the overall average event. • Forecast dispatch impacts under different event conditions (i.e., time of day, temperature) to create a matrix for use by the program to estimate full dispatch capabilities. • Evaluate effectiveness of Program design and processes. The goal of the impact evaluation is to assess the average (kW) and aggregate (MW) dispatch capabilities attributable to the Program. The independent, third-party EM&V consultant will determine the detailed analysis methodologies, sample design and data collection activities. It is

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	expected the consultant will use an experimental design with a robust regime of test events. For the impact evaluation, the consultant will utilize whole-house advanced metering infrastructure ("AMI") data from an EM&V sample and manufacturer supplied data to estimate ex-post and ex-ante energy impacts. The goal of the process evaluation is to assess Program design and implementation processes to improve effectiveness or operational efficiencies. Through the process evaluation, the evaluation contractor will document significant components of the Program including Program accomplishments, administrative processes, participant experiences during events, customer satisfaction, Program successes and opportunities for improvement to Program design and delivery. Ultimately, the process evaluation will provide guidance regarding opportunities for more effective Program implementation. Process evaluation activities will include surveys/interviews with participant households and program staff and implementers to understand Program processes. Participant households will be asked about post-event and Program satisfaction. Both participant surveys and Program staff and implementers interviews will help identify potential improvement areas to be included in the evaluation report.
(c)(3)(ii)(b)	**Measurement and Verification Reporting Plan for New Demand-Side Management and Energy Efficiency Measures: Provide a schedule for reporting the savings to the Commission;**
	The Company will report savings associated with this Program in its annual DSM/EE cost recovery proceedings.
(c)(3)(ii)(c)	**Measurement and Verification Reporting Plan for New Demand-Side Management and Energy Efficiency Measures: describe the methodologies used to produce the impact estimates, as well as, if appropriate, the methodologies it considered and rejected in the interim leading to final model specification; and**
	See section (c)(3)(ii)(a) above.
(c)(3)(ii)(d)	**Measurement and Verification Reporting Plan for New Demand-Side Management and Energy Efficiency Measures: Identify any third party and include all of the costs of that third party, if the electric public utility plans to utilize an independent third party for purposes of measurement and verification**
	The Company intends to use an independent, third-party consultant to provide EM&V services. See section (c)(3)(i)(f) for cost.
(c)(3)(iii)	**Cost Recovery Mechanism - Describe the Proposed Method of Cost Recovery From its Customers**
	The Company seeks to recover Program costs, net lost revenues and a utility incentive pursuant to the Mechanism.
(c)(3)(iv)	**Tariffs or Rates - Provide Proposed Tariffs or Modifications to Existing Tariffs That Will be Required to Implement Each Measure / Program**
	The tariff proposed by the Company for this Program is included as Attachment G.
(c)(3)(v)	**Utility Incentive s- Indicate Whether it Will Seek to Recover Any Utility Incentives, Including, if Appropriate, Net Lost Revenues, in Addition to its Costs**
	The Company seeks to recover Program costs and any applicable utility incentives pursuant to the Mechanism.

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Attachment A
Participation

	Power Manager®	
1	Measure Life (Average)	1
2	Free Rider % (Average)	0.0%
3	Incremental Participants Year 1	613,522
4	Incremental Participants Year 2	632,023
5	Incremental Participants Year 3	652,380
6	Incremental Participants Year 4	672,360
7	Incremental Participants Year 5	685,395
8	Cumulative Participation Year 1	613,522
9	Cumulative Participation Year 2	632,023
10	Cumulative Participation Year 3	652,380
11	Cumulative Participation Year 4	672,360
12	Cumulative Participation Year 5	685,395
13	Cumulative Summer Coincident kW w/ losses (net free) Year 1	625,302
14	Cumulative Summer Coincident kW w/ losses (net free) Year 2	638,819
15	Cumulative Summer Coincident kW w/ losses (net free) Year 3	654,243
16	Cumulative Summer Coincident kW w/ losses (net free) Year 4	669,326
17	Cumulative Summer Coincident kW w/ losses (net free) Year 5	679,298
18	Cumulative Winter Coincident kW w/ losses (net free) Year 1	111,972
19	Cumulative Winter Coincident kW w/ losses (net free) Year 2	132,584
20	Cumulative Winter Coincident kW w/ losses (net free) Year 3	154,622
21	Cumulative Winter Coincident kW w/ losses (net free) Year 4	177,257
22	Cumulative Winter Coincident kW w/ losses (net free) Year 5	192,381
23	Cumulative kWh w/ losses (net free) Year 1	0
24	Cumulative kWh w/ losses (net free) Year 2	0
25	Cumulative kWh w/ losses (net free) Year 3	0
26	Cumulative kWh w/ losses (net free) Year 4	0
27	Cumulative kWh w/ losses (net free) Year 5	0
28	Per Participant Weighted Average Coincident Saved Winter kW w/ losses	0.183
29	Per Participant Weighted Average Coincident Saved Summer kW w/ losses	1.019
30	Per Participant Average Annual kWh w/ losses (net free) Year 1	0
31	Per Participant Average Annual kWh w/ losses (net free) Year 2	0
32	Per Participant Average Annual kWh w/ losses (net free) Year 3	0
33	Per Participant Average Annual kWh w/ losses (net free) Year 4	0
34	Per Participant Average Annual kWh w/ losses (net free) Year 5	0
35	Cumulative Lost Revenue (net free) Year 1	$0
36	Cumulative Lost Revenue (net free) Year 2	$0
37	Cumulative Lost Revenue (net free) Year 3	$0
38	Cumulative Lost Revenue (net free) Year 4	$0
39	Cumulative Lost Revenue (net free) Year 5	$0
40	Average Lost Revenue per Participant (net free) Year 1	$0.00
41	Average Lost Revenue per Participant (net free) Year 2	$0.00
42	Average Lost Revenue per Participant (net free) Year 3	$0.00
43	Average Lost Revenue per Participant (net free) Year 4	$0.00
44	Average Lost Revenue per Participant (net free) Year 5	$0.00
45	Total Avoided Costs/MW saved Year 1	$694,817
46	Total Avoided Costs/MW saved Year 2	$631,392
47	Total Avoided Costs/MW saved Year 3	$582,923
48	Total Avoided Costs/MW saved Year 4	$546,275
49	Total Avoided Costs/MW saved Year 5	$530,444
50	Total Avoided Costs/MWh saved Year 1	$0
51	Total Avoided Costs/MWh saved Year 2	$0
52	Total Avoided Costs/MWh saved Year 3	$0
53	Total Avoided Costs/MWh saved Year 4	$0
54	Total Avoided Costs/MWh saved Year 5	$0

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Attachment B
Cost-Effectiveness Evaluation

Power Manager®					
		UCT	**TRC**	**RIM**	**Participant**
1	Avoided T&D Electric	$333,084,268	$333,084,268	$333,084,268	$0
2	Cost-Based Avoided Elec Production	$0	$0	$0	$0
3	Non-Energy Benefits		$0		
4	Cost-Based Avoided Elec Capacity	$334,993,395	$334,993,395	$334,993,395	$0
5	Participant Elec Bill Savings (gross)	$0	$0	$0	$0
6	Net Lost Revenue Net Fuel	$0	$0	$0	$0
7	Administration Costs	$28,767,379	$28,767,379	$28,767,379	$0
8	Implementation Costs	$92,864,068	$92,864,068	$92,864,068	$0
9	Incentives	$102,687,230	$0	$102,687,230	$102,687,230
10	Other Utility Costs	$7,616,337	$7,616,337	$7,616,337	$0
11	Participant Costs (gross)	$0	$0	$0	$0
12	Participant Costs (net)	$0	$0	$0	$0
13	Total Benefits	$668,077,663	$668,077,663	$668,077,663	$102,687,230
14	Total Costs	$231,935,013	$129,247,783	$231,935,013	$0
15	**Benefit/Cost Ratios**	**2.88**	**5.17**	**2.88**	

Data represents present value of costs and benefits over the life of the program.

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Attachment C
Program Costs by Year

Power Manager®		
1	Incremental Participants Year 1	613,522
2	Incremental Participants Year 2	632,023
3	Incremental Participants Year 3	652,380
4	Incremental Participants Year 4	672,360
5	Incremental Participants Year 5	685,395
6	Total Participant Costs Year 1	$0
7	Total Participant Costs Year 2	$0
8	Total Participant Costs Year 3	$0
9	Total Participant Costs Year 4	$0
10	Total Participant Costs Year 5	$0
11	Administration Costs Year 1	$6,133,266
12	Administration Costs Year 2	$6,305,960
13	Administration Costs Year 3	$6,572,335
14	Administration Costs Year 4	$6,685,048
15	Administration Costs Year 5	$6,885,493
16	Implementation Costs Year 1	$19,854,410
17	Implementation Costs Year 2	$20,480,222
18	Implementation Costs Year 3	$21,083,794
19	Implementation Costs Year 4	$21,667,427
20	Implementation Costs Year 5	$22,065,443
21	Total Incentives Year 1	$21,501,105
22	Total Incentives Year 2	$22,399,564
23	Total Incentives Year 3	$23,348,371
24	Total Incentives Year 4	$24,289,522
25	Total Incentives Year 5	$24,889,372
26	Other Utility Costs Year 1	$1,317,645
27	Other Utility Costs Year 2	$1,661,791
28	Other Utility Costs Year 3	$1,768,445
29	Other Utility Costs Year 4	$1,943,467
30	Other Utility Costs Year 5	$2,010,372
31	Total Utility Costs Year 1	$48,806,427
32	Total Utility Costs Year 2	$50,847,538
33	Total Utility Costs Year 3	$52,772,945
34	Total Utility Costs Year 4	$54,585,464
35	Total Utility Costs Year 5	$55,850,680

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Attachment D
Program Costs per Participant

	Power Manager®	
1	Average Per Participant Administration Costs Year 1	$10.00
2	Average Per Participant Administration Costs Year 2	$9.98
3	Average Per Participant Administration Costs Year 3	$10.07
4	Average Per Participant Administration Costs Year 4	$9.94
5	Average Per Participant Administration Costs Year 5	$10.05
6	Average Per Participant Implementation Costs Year 1	$32.36
7	Average Per Participant Implementation Costs Year 2	$32.40
8	Average Per Participant Implementation Costs Year 3	$32.32
9	Average Per Participant Implementation Costs Year 4	$32.23
10	Average Per Participant Implementation Costs Year 5	$32.19
11	Average Per Participant Incentives Year 1	$35.05
12	Average Per Participant Incentives Year 2	$35.44
13	Average Per Participant Incentives Year 3	$35.79
14	Average Per Participant Incentives Year 4	$36.13
15	Average Per Participant Incentives Year 5	$36.31
16	Average Per Participant Other Utility Costs Year 1	$2.15
17	Average Per Participant Other Utility Costs Year 2	$2.63
18	Average Per Participant Other Utility Costs Year 3	$2.71
19	Average Per Participant Other Utility Costs Year 4	$2.89
20	Average Per Participant Other Utility Costs Year 5	$2.93
21	Average Per Participant Total Utility Costs Year 1	$79.55
22	Average Per Participant Total Utility Costs Year 2	$80.45
23	Average Per Participant Total Utility Costs Year 3	$80.89
24	Average Per Participant Total Utility Costs Year 4	$81.18
25	Average Per Participant Total Utility Costs Year 5	$81.49

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Attachment E
Program Costs per Kw

	Power Manager®	
1	Cumulative Winter Coincident kW w/ losses (net free) Year 1	111,972
2	Cumulative Winter Coincident kW w/ losses (net free) Year 2	132,584
3	Cumulative Winter Coincident kW w/ losses (net free) Year 3	154,622
4	Cumulative Winter Coincident kW w/ losses (net free) Year 4	177,257
5	Cumulative Winter Coincident kW w/ losses (net free) Year 5	192,381
6	Cumulative Summer Coincident kW w/ losses (net free) Year 1	625,302
7	Cumulative Summer Coincident kW w/ losses (net free) Year 2	638,819
8	Cumulative Summer Coincident kW w/ losses (net free) Year 3	654,243
9	Cumulative Summer Coincident kW w/ losses (net free) Year 4	669,326
10	Cumulative Summer Coincident kW w/ losses (net free) Year 5	679,298
11	Administration Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 1	$10
12	Administration Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 2	$10
13	Administration Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 3	$10
14	Administration Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 4	$10
15	Administration Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 5	$10
16	Implementation Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 1	$32
17	Implementation Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 2	$32
18	Implementation Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 3	$32
19	Implementation Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 4	$32
20	Implementation Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 5	$32
21	Incentives / Cumulative Summer Coincident kW w/ losses (net free) Year 1	$34
22	Incentives / Cumulative Summer Coincident kW w/ losses (net free) Year 2	$35
23	Incentives / Cumulative Summer Coincident kW w/ losses (net free) Year 3	$36
24	Incentives / Cumulative Summer Coincident kW w/ losses (net free) Year 4	$36
25	Incentives / Cumulative Summer Coincident kW w/ losses (net free) Year 5	$37
26	Other Utility Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 1	$2
27	Other Utility Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 2	$3
28	Other Utility Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 3	$3
29	Other Utility Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 4	$3
30	Other Utility Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 5	$3
31	Total Utility Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 1	$78
32	Total Utility Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 2	$80
33	Total Utility Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 3	$81
34	Total Utility Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 4	$82
35	Total Utility Costs / Cumulative Summer Coincident kW w/ losses (net free) Year 5	$82
36	Administration Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 1	$55
37	Administration Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 2	$48
38	Administration Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 3	$43
39	Administration Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 4	$38
40	Administration Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 5	$36
41	Implementation Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 1	$177
42	Implementation Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 2	$154
43	Implementation Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 3	$136
44	Implementation Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 4	$122
45	Implementation Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 5	$115
46	Incentives / Cumulative Winter Coincident kW w/ losses (net free) Year 1	$192
47	Incentives / Cumulative Winter Coincident kW w/ losses (net free) Year 2	$169
48	Incentives / Cumulative Winter Coincident kW w/ losses (net free) Year 3	$151
49	Incentives / Cumulative Winter Coincident kW w/ losses (net free) Year 4	$137
50	Incentives / Cumulative Winter Coincident kW w/ losses (net free) Year 5	$129
51	Other Utility Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 1	$12
52	Other Utility Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 2	$13
53	Other Utility Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 3	$11
54	Other Utility Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 4	$11
55	Other Utility Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 5	$10
56	Total Utility Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 1	$436
57	Total Utility Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 2	$384
58	Total Utility Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 3	$341
59	Total Utility Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 4	$308
60	Total Utility Costs / Cumulative Winter Coincident kW w/ losses (net free) Year 5	$290

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Attachment F
Program Costs per kWh

Power Manager®		
1	Cumulative kWh w/ losses (net free) Year 1	0
2	Cumulative kWh w/ losses (net free) Year 2	0
3	Cumulative kWh w/ losses (net free) Year 3	0
4	Cumulative kWh w/ losses (net free) Year 4	0
5	Cumulative kWh w/ losses (net free) Year 5	0
6	Administration Costs / Cumulative kWh w/ losses (net free) Year 1	N/A
7	Administration Costs / Cumulative kWh w/ losses (net free) Year 2	N/A
8	Administration Costs / Cumulative kWh w/ losses (net free) Year 3	N/A
9	Administration Costs / Cumulative kWh w/ losses (net free) Year 4	N/A
10	Administration Costs / Cumulative kWh w/ losses (net free) Year 5	N/A
11	Implementation Costs / Cumulative kWh w/ losses (net free) Year 1	N/A
12	Implementation Costs / Cumulative kWh w/ losses (net free) Year 2	N/A
13	Implementation Costs / Cumulative kWh w/ losses (net free) Year 3	N/A
14	Implementation Costs / Cumulative kWh w/ losses (net free) Year 4	N/A
15	Implementation Costs / Cumulative kWh w/ losses (net free) Year 5	N/A
16	Incentives / Cumulative kWh w/ losses (net free) Year 1	N/A
17	Incentives / Cumulative kWh w/ losses (net free) Year 2	N/A
18	Incentives / Cumulative kWh w/ losses (net free) Year 3	N/A
19	Incentives / Cumulative kWh w/ losses (net free) Year 4	N/A
20	Incentives / Cumulative kWh w/ losses (net free) Year 5	N/A
21	Other Utility Costs / Cumulative kWh w/ losses (net free) Year 1	N/A
22	Other Utility Costs / Cumulative kWh w/ losses (net free) Year 2	N/A
23	Other Utility Costs / Cumulative kWh w/ losses (net free) Year 3	N/A
24	Other Utility Costs / Cumulative kWh w/ losses (net free) Year 4	N/A
25	Other Utility Costs / Cumulative kWh w/ losses (net free) Year 5	N/A
26	Total Utility Costs / Cumulative kWh w/ losses (net free) Year 1	N/A
27	Total Utility Costs / Cumulative kWh w/ losses (net free) Year 2	N/A
28	Total Utility Costs / Cumulative kWh w/ losses (net free) Year 3	N/A
29	Total Utility Costs / Cumulative kWh w/ losses (net free) Year 4	N/A
30	Total Utility Costs / Cumulative kWh w/ losses (net free) Year 5	N/A

Power Manager Equipment Control Service

Attachment G
Tariff

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RESIDENTIAL SERVICE - EQUIPMENT CONTROL

AVAILABILITY

Available to individually metered residential customers receiving concurrent service from the Company. To participate in the program, Customer must occupy the residence. Individual program options may require occupant to provide Company with owner-consent. Company shall be allowed to monitor Customer's load or any part thereof and the operation of controlled appliances or systems, at no charge to Customer under the provisions of this Rider. Eligible customers may participate in the heating, ventilation and air conditioning ("HVAC") control option and/or the water heater control option and/or the battery control option.

HVAC Control:

Participating customers may choose to employ (1) Company-provided Load Control Device(s) or (2) eligible Customer-owned thermostat(s) to interrupt service to each installed, approved electric central air conditioning unit(s), and/or approved electric heat pump(s) used for cooling, and/or approved electric heating source employing primary or backup electric resistance heating elements.

Customers choosing to employ their own eligible thermostat(s), listed on the Company's website, must have the thermostat(s) configured in a manner which allows the Company to remotely communicate and control Customer's equipment.

Non-Winter thermostat-based participation is suspended and limited to participants in place on December 31, 2020. Winter-Focused thermostat-based participants must have thermostat control of approved central air conditioning and central heating units.

Customers cannot participate in both the Load Control Device(s) and Thermostat-based program options. Thermostat-based customers cannot participate in both Non-Winter and Winter-Focused options.

Water Heater Control:

Participating Customers may choose to employ (1) Company-provided Load Control Device(s) or (2) a water heater's ability to receive signals from the Company's load management system.

Battery Control:

This option is available to customers who install and operate a battery storage system with an inverter ("Battery" or "Installed Equipment"). Installed Equipment may include more than one battery component. Customers choosing this option must have the Battery configured in a manner that allows the Company to remotely communicate and control the Customer's equipment. Installed Equipment shall be subject to inspection and verification upon request by the Company.

Load Control Option under HVAC and Water Heaters

Customers choosing to employ Company-provided Load Control Device(s) shall contract for Company or its representative to install and operate the necessary control equipment in a location provided by Customer and suitable to Company in or around the residential dwelling unit. This option is only available where Company has the necessary communications equipment installed and where load control signal can be satisfactorily received at Company's specified location on Customer's residence.

PARTICIPATION INCENTIVES

Customer shall receive an Initial Incentive Payment following the successful installation and testing of the Load Control Device(s) or participating Customer's device(s). Annual Incentives may be paid out annually on the customer's anniversary of joining the program or monthly during the season. Customer leaving the program may return anytime to the program but shall not receive the Initial Incentive Payment.

Battery participants will be provided monthly incentive payments following the successful installation and enrollment of the Customer's Installed Equipment.

PAYMENT OF INCENTIVES

The Company's payment of Incentives, at its discretion, may be offered in a variety of ways, including, but not limited to, bill credits, checks, and prepaid credit cards as follows:

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	Initial Incentive (One time per residence)	Annual Incentive (May be paid monthly or annually)
AC or Heat Pump Load Control Device Non-Winter	$50*	$56
Heat Strip Load Control Device Winter	$50	$40
Thermostat Internet Connected Non-Winter	Closed to new participants	$50
Thermostat Internet Connected Winter Focused	$150	$50
Water Heater Load Control Device	$25	$25
Water Heater Internet Connected	$25	$25
Battery Internet Connected	N/A	Monthly Incentive - $6.50 per kW based on nameplate continuous discharge capacity as defined by the battery manufacturer adjusted by a capability factor. The capability factor will be posted to the Company website and will be updated based on EM&V results. The capability factor adjusts for operational and program constraints including but not limited to reliability of device connection, system losses and systems not always being fully charged at time of the event.

*Limited participation for the non-winter months.

APPROVED CENTRAL AIR CONDITIONING UNIT

An approved electric central air conditioning and/or electric heat pump unit is a central electric air conditioning unit used to cool the residence through a ducted system. All central air conditioning and/or electric heat pump units installed at the residence must participate in load control in order to receive the Annual Incentive.

APPROVED CENTRAL HEATING UNIT

An approved electric central heating unit is a unit employing electric resistance heating elements, including air source heat pumps equipped with backup electric resistance heating elements, used to heat the residence through a ducted system. All heating units installed at the residence must participate in load control in order to receive the Annual Incentive.

APPROVED ELECTRIC WATER HEATER

An approved water heater is an insulated standard storage-type water heater of not less than 30 gallons rated capacity. All storage-type water heaters installed at the residence must participate in load control in order to receive the Incentive. On-Demand (Tankless or Instantaneous) water heaters are excluded from this program.

APPROVED BATTERY SYSTEM

The Customer's Battery must comply with interconnection standards and maintain internet connectivity in order to receive event commands. Approved Battery models will be posted on the Company's website.

INTERRUPTION

For all participation options:

The Company reserves the right for interruption outside of these parameters in the event continuity of service is threatened. At its discretion, the Company may preheat or precool the customers' equipment prior to interruption period. The Company reserves the right to test these systems at any time, and such test periods shall be counted towards the maximum hourly interruption limit. Customer shall have the option to override a control event; however, if Customer exceeds two (2) control event overrides in a single

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winter or non-winter control season, Customer may be subject to removal from the program and shall forfeit the next subsequent Annual Incentive for that controlled season. A control event override is defined as Customer requesting exemption from part or whole of the interruption time period. If Company is unable to communicate with Customer's thermostat(s) or internet connected water heater during a load control event, it will be counted as a control event override.

Non-Winter-Only AC, Heat Pump or Thermostat Participants:

Company shall be allowed, at its discretion, to interrupt service to each air conditioner for up to four hours during each day of the non-winter control season months of April through October. Air conditioner interruptions shall be limited to a total of 60 hours during any one non-winter season. Winter-Focused Thermostat Participants:

Company shall be allowed, at its discretion, to interrupt service to each heating system for up to four hours during each day of the winter control season months of November through March. Heating unit interruptions shall be limited to a total of 45 hours during any one winter season. Interruptions of heating and/or cooling systems for the remainder of the year are limited to a total of 15 hours. Heating Load Control Device Participants:

Company shall be allowed, at its discretion, to interrupt service to each heating system for up to four hours during each day of the winter control season months of November through March. Heating unit interruptions shall be limited to a total of 60 hours during any one winter season.

Water Heater Participants:

Company shall be allowed, at its discretion, to interrupt service to each water heater for up to four hours during each day of the calendar year.

Battery Control Participants:

The Company or a third party acting on the Company's behalf shall be allowed, at its discretion, to charge, discharge and store energy using the Customer's Battery ("Control Events") a minimum level of 30 control events a year and a maximum of 36 control events and is further defined as up to 18 times per winter control season months November through March and 18 times per non-winter control season (April through October). A Control Event is defined as the initiation of a signal to control the Battery and, within 48 hours later, discharging it. The Company will not discharge the Battery below a 20% state of charge. The Company reserves the right for interruption outside of these parameters in the event continuity of service is threatened.

The Company reserves the right to test Installed Equipment at any time, and such test periods shall be counted as a Control Event. The Customer will have the option to opt out of a Control Event; however, if the Customer exceeds four (4) Control Event opt-outs in a single year, the Customer may be removed from the program. A Control Event opt-out includes non-participation from part or all of the interruption time period. If the Company is unable to communicate with the Customer's Installed Equipment during a Control Event, it will be counted as a Control Event opt-out.

If a Customer is unable to participate in a Control Event due to no fault of the Customer, such inability to participate will not be considered an opt out.

The Company reserves the right to prevent the Customer's Battery from charging from the grid if continuity of service is threatened, or to disconnect the customer's load entirely if the operation of the Customer's Battery threatens the reliability or safety of the Company's system. The Company's exercising of this right does not constitute a Control Event.

EQUIPMENT INSPECTION AND SERVICING

For Company-provided Load Control Device(s), the Company or its agents shall have the right of ingress and egress to Customer's premises at all reasonable hours for the purpose of inspecting Company's wiring and apparatus; changing, exchanging, or repairing its property, as necessary; or removing its property after termination of service. For Battery participants, the Company or its agents shall have the right to ingress and egress to Customer's premises at all reasonable hours for the purpose of inspecting the Installed Equipment to ensure connection and operability. The Company and Customer shall schedule a convenient time for such purposes whenever inspection or servicing is deemed necessary by the Company. If any tampering with Company-owned equipment occurs,

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Company may adjust the billing and take other action in accordance with the Rules and Regulations of the North Carolina Utilities Commission and the laws of the State of North Carolina as applicable to meter tampering.

CONTRACT PERIOD

The Contract Period shall not be less than one year. Customer or Company may terminate participation under the Rider by providing 30 days prior notice to the other party. If within the first year, the Customer wishes to discontinue participation in this Program, the Customers using Company provided Load Control Device(s) and Customers who have received initial thermostat-based incentive may be charged the value of the initial incentive. . Upon termination, the Company-provided load control device(s), at Customer's residence will be remotely disabled to prevent further load control.

SALES TAX

To the above charges will be added any applicable North Carolina Sales Tax.

COMPANY RETENTION OF PROGRAM BENEFITS

Incentives and other considerations offered under the terms of this Program are understood to be an essential element in the recipient's decision to participate in the Program. Upon payment of these considerations, Company will be entitled to any and all environmental, energy efficiency, and demand reduction benefits and attributes, including all reporting and compliance rights, associated with participation in the Program. None of the energy used in charging or discharging during a Control Event shall be considered eligible for resale to the Company, and any value associated with the charging or discharging energy shall be considered to be compensated for as part of the participant's incentive.

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AVAILABILITY

Available to individually metered residential customers receiving concurrent service from the Company. To participate in the program, Customer must ~~either own and~~ occupy the residence. Individual program options may require occupant to ~~or occupy and~~ provide Company with owner-consent. Company shall be allowed to monitor Customer's load or any part thereof and the operation of controlled appliances or systems, at no charge to Customer under the provisions of this Rider. Eligible customers may participate in the heating, ventilation and air conditioning ("HVAC") control option and/or the water heater control option and/or the battery control option.

HVAC Control:

Participating customers may choose to employ (1) Company-provided Load Control Device(s) or (2) eligible Customer-owned thermostat(s) to interrupt service to each installed, approved electric central air conditioning unit(s), and/or approved electric heat pump(s) used for cooling, and/or approved electric heating source employing primary or backup electric resistance heating elements. ~~Company shall be allowed to monitor their operation under the provisions of this Rider.~~

~~Customers choosing to employ Company-provided Load Control Device(s) contract for Company or its representative to install and operate the necessary control equipment in a location provided by Customer and suitable to Company in or about the residential dwelling unit. This option is only available where Company has the necessary communications equipment installed and where load control signal can be satisfactorily received at Company's specified location on Customer's residence.~~

Customers choosing to employ their own eligible thermostat(s), listed on the Company's website, must have the thermostat(s) configured in a manner which allows the Company to remotely communicate and control Customer's equipment.

~~Summer-Only~~Non-Winter thermostat-based participation is suspended and limited to participants in place on December 31, 2020. Winter-Focused thermostat-based participants must have thermostat control of approved central air conditioning and central heating units.

Customers cannot participate in both the Load Control Device(s) and Thermostat-based program options. Thermostat-based customers cannot participate in both ~~Summer-Only~~ Non-Winter and Winter-Focused options.

Water Heater Control:

Participating Customers may choose to employ (1) Company-provided Load Control Device(s) or (2) a water heater's ability to receive signals from the Company's load management system.

Battery Control:

This option is available to customers who install and operate a battery storage system with an inverter ("Battery" or "Installed Equipment"). Installed Equipment may include more than one battery component. Customers choosing this option must have the Battery configured in a manner that allows the Company to remotely communicate and control the Customer's equipment. Installed Equipment shall be subject to inspection and verification upon request by the Company.

Load Control Option under HVAC and Water Heaters

Customers choosing to employ Company-provided Load Control Device(s) shall contract for Company or its representative to install and operate the necessary control equipment in a location provided by Customer and suitable to Company in or around the residential dwelling unit. This option is only available where Company has the necessary communications equipment installed and where load control signal can be satisfactorily received at Company's specified location on Customer's residence.

PARTICIPATION INCENTIVES

~~Cooling Load Control Device participants will be provided monthly incentives for the billing months of July through October.~~

~~Heating Load Control Device participants will be provided monthly incentives for the billing months of January through April.~~

~~Thermostat participants will be provided an Initial Incentive Payment following the successful installation and enrollment of the participating Customer's thermostat(s). Following each twelve months of continuous participation on the thermostat option,~~

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~~Customers will be provided an Annual Incentive. Thermostat participants leaving the program may return anytime to the program but shall not receive the Initial Incentive Payment and must complete a twelve-month continuous participation on the program to receive an Annual Incentive.~~

Customer shall receive an Initial Incentive Payment following the successful installation and testing of the Load Control Device(s) or participating Customer's device(s). Annual Incentives may be paid out annually on the customer's anniversary of joining the program or monthly during the season. Customer leaving the program may return anytime to the program but shall not receive the Initial Incentive Payment.

Battery participants will be provided monthly incentive payments following the successful installation and enrollment of the Customer's Installed Equipment.

PAYMENT OF INCENTIVES

~~The Company's payment of Incentives, at its discretion, may be offered in a variety of ways, including, but not limited to, bill credits, checks, and prepaid credit cards as follows:~~

~~Cooling Load Control Device Participants~~

- ~~For the billing months of July through October - $8 per residence per billing month.~~

~~Heating Load Control Device Participants~~

- ~~For the billing months of January through April - $6 per residence per billing month.~~

~~Thermostat Control Participants~~

- ~~Initial Incentive - One Time $75 per residence following successful enrollment of the Thermostat(s)~~
- ~~Annual Incentive - $25 per residence~~

~~Battery Control Participants~~

- ~~Monthly Incentive - $6.50 per kW based on nameplate continuous discharge capacity as defined by the battery manufacturer adjusted by a capability factor. The capability factor adjusts for operational and program constraints including but not limited to reliability of device connection, system losses and systems not always being fully charged at time of the event.~~

The Company's payment of Incentives, at its discretion, may be offered in a variety of ways, including, but not limited to, bill credits, checks, and prepaid credit cards as follows:

	Initial Incentive (One time per residence)	Annual Incentive (May be paid monthly or annually)
AC or Heat Pump Load Control Device Non-Winter	$50*	$56
Heat Strip Load Control Device Winter	$50	$40
Thermostat Internet Connected Non-Winter	Closed to new participants	$50
Thermostat Internet Connected Winter Focused	$150	$50
Water Heater Load Control Device	$25	$25
Water Heater Internet Connected	$25	$25
Battery Internet Connected	N/A	Monthly Incentive - $6.50 per kW based on nameplate continuous discharge capacity as defined by the battery manufacturer adjusted by a capability factor. The capability factor will be posted to the Company website and will be updated based on EM&V results. The capability factor adjusts for operational and program constraints including but

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		not limited to reliability of device connection, system losses and systems not always being fully charged at time of the event.

*Limited participation for the non-winter months.

APPROVED CENTRAL AIR CONDITIONING UNIT

An approved electric central air conditioning and/or electric heat pump unit is a central electric air conditioning unit used to cool the residence through a ducted system. All central air conditioning and/or electric heat pump units installed at the residence must participate in load control in order to receive the ~~Monthly or~~ Annual Incentive.

APPROVED CENTRAL HEATING UNIT~~S~~

An approved electric central heating unit is a unit employing electric resistance heating elements, including air source heat pumps equipped with backup electric resistance heating elements, used to heat the residence through a ducted system. All heating units installed at the residence must participate in load control in order to receive the ~~Monthly or~~ Annual Incentive.

APPROVED ELECTRIC WATER HEATER

An approved water heater is an insulated standard storage-type water heater of not less than 30 gallons rated capacity. All storage-type water heaters installed at the residence must participate in load control in order to receive the Incentive. On-Demand (Tankless or Instantaneous) water heaters are excluded from this program.

APPROVED BATTERY SYSTEM

The Customer's Battery must comply with interconnection standards and maintain internet connectivity in order to receive event commands. Approved Battery models will be posted on the Company's website.

INTERRUPTION

For all participation options:

The Company reserves the right for interruption outside of these parameters in the event continuity of service is threatened. At its discretion, the Company may preheat or precool the customers' equipment prior to interruption period. The Company reserves the right to test these systems at any time, and such test periods shall be counted towards the maximum hourly interruption limit. Customer shall have the option to override a control event; however, if Customer exceeds two (2) control event overrides in a single winter or non-winter control season, Customer may be subject to removal from the program and shall forfeit the next subsequent Annual Incentive for that controlled season. A control event override is defined as Customer requesting exemption from part or whole of the interruption time period. If Company is unable to communicate with Customer's thermostat(s) or internet connected water heater during a load control event, it will be counted as a control event override.

Non-Winter-Only AC, Heat Pump or Thermostat Participants:

~~Summer-Only Thermostat Participants (closed to new customers) and Cooling Load Control Device Participants:~~

Company shall be allowed, at its discretion, to interrupt service to each air conditioner for up to four hours during each day of the non-winter control season months of April through October. ~~summer control season months of May through September.~~ Air conditioner interruptions shall be limited to a total of 60 hours during any one ~~summe~~non-winter~~r~~ season. ~~Company reserves the right for interruption outside of these parameters in the event continuity of service is threatened.~~

Winter-Focused Thermostat Participants:

Company shall be allowed, at its discretion, to interrupt service to each heating system for up to four hours during each day of the winter control season months of ~~December~~ November through March. Heating unit interruptions shall be limited to a total of 45 hours during any one winter season. Interruptions of heating and/or cooling systems for the remainder of the year are limited to a

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total of 15 hours. ~~Company reserves the right for interruption outside of these parameters in the event continuity of service is threatened.~~

Heating Load Control Device Participants:

Company shall be allowed, at its discretion, to interrupt service to each heating system for up to four hours during each day of the winter control season months of ~~December~~November through March. Heating unit interruptions shall be limited to a total of 60 hours during any one winter season. ~~Company reserves the right for interruption outside of these parameters in the event continuity of service is threatened.~~

Water Heater Participants:

Company shall be allowed, at its discretion, to interrupt service to each water heater for up to four hours during each day of the calendar year.

~~All HVAC Control Participants:~~

~~At its discretion, the Company may preheat or precool the customers' equipment prior to interruption period.~~

~~The Company reserves the right to test the load control equipment at any time, and such test periods shall be counted toward the maximum hourly interruption limit. Customer shall have the option to opt out of a control event; however, if Customer exceeds two (2) control event opt-outs in a single winter or summer control season, Customer may be subject to removal from the program and forfeit receipt of program incentives. A control event opt-out includes non-participation from part or whole of the interruption time period. If Company is unable to communicate with Customer's thermostat(s) during a load control event, it will be counted as a control event opt-out.~~

Battery Control Participants:

The Company or a third party acting on the Company's behalf shall be allowed, at its discretion, to charge, discharge and store energy using the Customer's Battery ("Control Events") a minimum level of 30 control events a year and a maximum of 36 control events and is further defined as up to 18 times per winter control season months ~~December~~November through March and 18 times per non-winter control season (-April through October). ~~9 times per summer control season May through September and 9 times in remaining months.~~ A Control Event is defined as the initiation of a signal to control the Battery and, within 48 hours later, discharging it. The Company will not discharge the Battery below a 20% state of charge. The Company reserves the right for interruption outside of these parameters in the event continuity of service is threatened.

The Company reserves the right to test Installed Equipment at any time, and such test periods shall be counted as a Control Event. The Customer will have the option to opt out of a Control Event; however, if the Customer exceeds four (4) Control Event opt-outs in a single year, the Customer may be removed from the program. A Control Event opt-out includes non-participation from part or all of the interruption time period. If the Company is unable to communicate with the Customer's Installed Equipment during a Control Event, it will be counted as a Control Event opt-out.

If a Customer is unable to participate in a Control Event due to no fault of the Customer, such inability to participate will not be considered an opt out.

The Company reserves the right to prevent the Customer's Battery from charging from the grid if continuity of service is threatened, or to disconnect the customer's load entirely if the operation of the Customer's Battery threatens the reliability or safety of the Company's system. The Company's exercising of this right does not constitute a Control Event.

EQUIPMENT INSPECTION AND SERVICING

For Company-provided Load Control Device(s), the Company or its agents shall have the right of ingress and egress to Customer's premises at all reasonable hours for the purpose of inspecting Company's wiring and apparatus; changing, exchanging, or repairing its property, as necessary; or removing its property after termination of service. For Battery participants, the Company or its agents shall have the right to ingress and egress to Customer's premises at all reasonable hours for the purpose of inspecting the Installed Equipment to ensure connection and operability. The Company and Customer shall schedule a convenient time for such purposes

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whenever inspection or servicing is deemed necessary by the Company. If any tampering with Company-owned equipment occurs, Company may adjust the billing and take other action in accordance with the Rules and Regulations of the North Carolina Utilities Commission and the laws of the State of North Carolina as applicable to meter tampering.

CONTRACT PERIOD

The Contract Period shall not be less than one year. Customer or Company may terminate participation under the Rider by providing 30 days prior notice to the other party. If within the first year, the Customer wishes to discontinue participation in this Program, the Customers using Company provided Load Control Device(s) and Customers who have received initial thermostat-based incentive may be charged the value of the initial incentive. ~~will pay a $25 service charge and Customers who have received initial thermostat-based incentive will pay a $75 service charge~~. Upon termination, the Company-provided load control device(s), at Customer's residence will be remotely disabled to prevent further load control.

SALES TAX

To the above charges will be added any applicable North Carolina Sales Tax.

COMPANY RETENTION OF PROGRAM BENEFITS

Incentives and other considerations offered under the terms of this Program are understood to be an essential element in the recipient's decision to participate in the Program. Upon payment of these considerations, Company will be entitled to any and all environmental, energy efficiency, and demand reduction benefits and attributes, including all reporting and compliance rights, associated with participation in the Program. None of the energy used in charging or discharging during a Control Event shall be considered eligible for resale to the Company, and any value associated with the charging or discharging energy shall be considered to be compensated for as part of the participant's incentive.